

Capstone Project - 02

Deduction Identification:

Identify Short Payment

Given an invoice amount exists, When the received payment amount is less than the invoice amount. Then the system should calculate the difference as a potential deduction.

Example

Invoice Amount	Payment Received	Deduction
10,000	9,500	500

Read Deduction Reason from Remittance

Given a remittance advice contains deduction remarks. When the payment is processed, then the system should capture the deduction reason.

Supported Reasons

- Pricing Issue
- Freight Claim
- Damage Claim
- Tax Difference
- Discount Taken

Create Deduction Record

Given a deduction is identified, When the analyst posts the cash application. Then the system should create a deduction/dispute item for the remaining balance.

Apply Partial Cash

Given a customer partially paid an invoice. When the payment is applied. Then the system should:

- close the paid portion
- leave the deduction amount open for investigation

Assign Deduction Reason Code

Given a deduction exists. When the analyst selects a reason. Then the system should assign a predefined deduction reason code.

Sample Reason Codes

Code	Description
D01	Pricing
D02	Freight
D03	Damage
D04	Tax
D05	Discount

Auto Match Based on Tolerance

Given the difference amount is within tolerance. When the payment is processed. Then the system may auto-write off the difference instead of creating a deduction.

Process Flow

1. Receive customer payment
2. Import remittance advice
 - 2.1 Reach out to collector/customer if not received
3. Match invoice number
4. Compare invoice vs payment amount
 - 4.1 Perform the **reconciliation** (examples below)
5. Identify deduction difference/Over Payment

6. Capture deduction reason (if available)
7. Apply payment
8. Create deduction/dispute item
9. Route deduction for resolution